

HOUSING FINANCE COMPANY OF KENYA LTD

QUARTERLY FINANCIAL STATEMENTS AND DISCLOSURES

I BALANCE SHEET				II PROFIT AND LOSS ACCOUNT			
	31.12.2001	31.03.2002	30.06.2002		31.12.2001	31.03.2002	30.06.2002
	KShs'000	KShs'000	KShs'000		KShs'000	KShs'000	KShs'000
	(Audited)	(Un-audited)	(Un-audited)		(Audited)	(Un-audited)	(Un-audited)
A. ASSETS				1 INTEREST INCOME			
1 Cash and bank balances	236,938	112,059	174,379	1.1 Loans and advances	1,263,148	338,143	693,365
2 Government securities	1,175,212	819,792	650,597	1.2 Government Securities	200,876	32,785	51,438
3 Deposits and balances due from banking institutions	862,676	1,030,000	1,140,000	1.3 Deposits and Placements with banking institutions	86,637	20,720	44,535
4 Government and other securities held for dealing purposes	-	-	-	1.4 Other Interest Income	-	-	-
5 Interest receivable and other assets	250,164	280,853	290,285	1.5 Total Interest Income	1,550,661	391,648	789,338
6 Tax recoverable	95,955	95,954	95,954	2 INTEREST EXPENSES			
7 Loans and advances to customers (net)	8,331,293	8,194,943	7,982,270	2.1 Customers' Deposits	911,841	188,777	351,024
8 Investment securities	-	-	-	2.2 Deposits and placements from banking institutions	-	-	-
9 Balances due from group companies	195,942	160,494	109,348	2.3 Other Interest Expenses	10,120	2,098	4,257
10 Investments in associates	-	-	-	2.4 Total Interest Expenses	921,961	190,875	355,281
11 Investment in subsidiary companies	55,020	55,020	55,020	3 NET INTEREST INCOME	628,700	200,773	434,057
12 Investment properties	-	-	-	4 OTHER OPERATING INCOME			
13 Property and equipment	371,918	367,147	371,408	4.1 Fees and commissions income	67,697	15,587	32,452
14 Intangible assets	4,456	3,903	3,350	4.2 Foreign exchange trading income	-	-	-
15 Deferred tax asset	91,152	89,479	80,095	4.3 Dividend income	-	-	-
16 Retirement benefit Asset	-	-	-	4.4 Other income	74,676	17,179	37,989
17 TOTAL ASSETS	11,670,726	11,209,644	10,952,706	4.5 Total Non-Interest Income	142,373	32,766	70,441
B. LIABILITIES				5 TOTAL OPERATING INCOME	771,073	233,539	504,498
18 Customers' deposits	10,258,467	9,667,146	9,312,087	6 OPERATING EXPENSES			
19 Deposits and balances due to banking institutions	-	-	-	6.1 Bad and doubtful debts charge	186,610	40,178	76,780
20 Balances due to Central Bank of Kenya	-	-	-	6.2 Staff costs	370,720	102,103	196,986
21 Other money market deposits	-	-	-	6.3 Directors' emoluments	2,050	683	1,201
22 Borrowed funds	-	-	-	6.4 Operating lease rentals	12,141	4,330	8,199
23 Balances due to group companies	-	-	-	6.5 Depreciation charge on property and equipment	32,754	7,602	16,454
24 Interest payable and other liabilities	252,899	398,528	476,096	6.6 Other operating expenses	265,791	66,844	137,013
25 Tax payable	-	-	-	6.7 Total Operating Expenses	870,066	221,740	436,633
26 Dividends payable	96,293	96,293	96,293	7 PROFIT/(LOSS) BEFORE TAX AND EXCEPTIONAL ITEMS			
27 Deferred tax liability	-	-	-	8 EXCEPTIONAL ITEM	(98,993)	11,799	67,865
28 Retirement benefit liability	11,141	2,785	5,570	9 PROFIT/(LOSS) AFTER EXCEPTIONAL ITEMS	(157,766)	(8,868)	(37,782)
29 TOTAL LIABILITIES	10,618,800	10,164,752	9,890,046	10 Current tax	(256,759)	2,931	30,083
C. SHAREHOLDERS' EQUITY				11 Deferred Tax	69,865	(1,673)	(11,057)
30 Paid up capital	575,000	575,000	575,000	12 PROFIT/(LOSS) AFTER TAX AND EXCEPTIONAL ITEMS	(187,207)	1,258	19,026
31 Share Premium	25,705	25,705	25,705	III DISCLOSURES			
32 Revaluation reserve	168,856	168,856	168,856	1 NON-PERFORMING LOANS AND ADVANCES			
33 Retained earnings	198,447	199,705	217,473	a) Total Non-Performing Loans and Advances	5,212,239	5,401,322	5,247,355
34 Proposed dividends	-	-	-	b) Specific Provisions for Bad Debts	1,255,528	1,268,468	1,289,398
35 Shareholders' loans	83,918	75,626	75,626	c) Net Non-Performing Loans (a-b)	3,956,711	4,132,854	3,957,957
36 TOTAL SHAREHOLDERS' EQUITY	1,051,926	1,044,892	1,062,660	d) Realizable Value of Securities	5,532,785	5,451,479	5,362,733
37 TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	11,670,726	11,209,644	10,952,706	e) Net NPLs Exposure (c-d)	(1,576,074)	(1,318,625)	(1,404,776)
				f) General provisions for loans and advances	43,902	41,926	40,652
				g) Total Provisions for Loans and advances (b+f)	1,299,430	1,310,394	1,330,050
				2 INSIDER LOANS AND ADVANCES			
				a) Directors, shareholders and associates	197,196	1,626	110,514
				b) Employees	205,085	189,043	190,666
				c) Total Insider Loans and Advances	402,281	350,669	301,180
				3 OFF-BALANCE SHEET ITEMS			
				a) Letters of credit, guarantees and acceptances	-	-	-
				b) Other contingent liabilities	40,852	40,852	37,096
				c) Total Contingent Liabilities	40,852	40,852	37,096
				4 CAPITAL STRENGTH			
				a) Core Capital	799,152	799,781	808,665
				b) Supplementary Capital	126,132	117,840	17,840
				c) Total Capital (a+b)	925,284	917,621	826,505
				d) Total risk weighted assets	9,550,587	9,434,928	9,189,090
				e) Core Capital / Total Deposit liabilities	7.79%	8.16%	8.53%
				f) Core capital / Total risk weighted assets	8.37%	8.48%	8.80%
				g) Total capital / Total risk weighted assets	9.69%	9.73%	10.08%

The above are extracts of financial statements and records of the institution.

Signed: Richard Kemoli (Chairman) Peter J W Lewis-Jones (Managing Director)

GROUP RESULTS FOR THE HALF YEAR TO 30th JUNE 2002

The Directors of Housing Finance Company of Kenya Ltd. are pleased to announce the unaudited group results for the six months ended 30th June 2002.

Group Results			
	6 Months to 30.06.2002	6 Months to 30.06.2001	12 Months to 31.12.2001
	KShs'000	KShs'000	KShs'000
Income	1,005,023	1,208,348	1,957,647
Group Profit/(Loss) before Exceptional item and Taxation	72,636	208,812	(97,180)
Exceptional item	(37,782)	(148,702)	(157,766)
Group Profit/(Loss) before Taxation	34,854	60,110	(254,946)
Provision for Taxation	(12,488)	(18,033)	69,222
Group Profit/(Loss) after Tax	22,366	42,077	(185,724)
Share Capital and Reserves	575,000	575,000	575,000
Share Capital	462,987	693,908	440,620
Reserves	1,037,987	1,268,908	1,015,620
Total	115,000,000	115,000,000	115,000,000
Number of Shares issued and fully paid	115,000,000	115,000,000	115,000,000
Earnings/(Loss) Per Share	KShs.0.19	KShs.0.37	(KShs.1.60)

1. Group profit before tax of KShs. 35 Million is an encouraging turn-around from a loss of KShs.255 Million reported in the 12 months to 31st December 2001. The key factors affecting these results are: the active management of the Non-Performing loan portfolio, control of costs and the ongoing change programme which involved the re-branding together with re-alignment of functions.
2. The exceptional item relates to a provision with respect to costs of the ongoing company re-organization and restructuring.
3. The results are satisfactory, especially having provided for the exceptional item and in the light of reduced earnings on money market investments in line with the consistent fall in treasury bill yield rates during the first half-year notwithstanding the prevailing economic circumstances.

The Directors do not recommend the payment of an interim dividend.

By Order of the Board

Chunga Associates
19th July 2002



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Head office: Rehani House, Koinange/Kenyatta Avenue St. P.O Box 30088, 00100-Nairobi, Kenya
Tel (+254 2) 333910. Fax (+254 2) 334670, E-Mail: housing@housing.co.ke. Website: http://housing.co.ke